Guidance for Compliance – NAB Enterprise Policy on Unfair, Deceptive Acts or Practices



I. Purpose

Using unfair and deceptive act or practices to obtain or retain business, including the sale of products and payments processing, are strictly prohibited. Thus, the purpose of this document is to provide you with additional guidance on compliance with NAB Enterprise Policy on Unfair, Deceptive Acts or Practices ("Policy").

II. Guidance

Acts or Practices
Policy Requirement: NAB prohibits: 1. Engaging in any conduct that materially interferes with the ability of a client to understand a term or condition of a product or service. 2. Taking unreasonable advantage of: a. A lack of understanding on the part of the client of the material risks, costs, or conditions of the product or service; b. The inability of the client to protect its interests in selecting or using a product or service; or c. The reasonable reliance by the client on the sales person to act in the interests of the client.
Guidance: Abuses occur when the sales person knows that under the circumstances the sales person has, or would appear to have, the ability to cloud the merchants' ability to see the deal clearly and uses that ability to the sales person's advantage. Where the sales person's actions materially interfere with the ability of a client to understand a term or condition of a product or service yet agrees to the deal abuse may have occurred in violation of the Policy. **Consider the following in order to avoid the likelihood of abuse (perceived or actual):** 1. Consider the situation –

a. Merchant business – new or existing (years)
b. Processing history
c. Business acumen of principal/business representative
d. What the business is looking for vs. what the sales person wants to sell

2. Do not pressure the merchant to make a decision.
3. Do not skip information that should be delivered according to scripts and training.
4. Use plain language to explain the terms, pricing conditions, functionality, products, agreement, and services.

Avoid the appearance of taking unreasonable advantage of customer:

1. Level of communication should be consistent with audience (1.a.-d. above). For instance, do not fast talk a merchant where any reasonable person would recognize that English is not the merchant's first language, or where merchant has never accepted cards before.
2. If the merchant ask for clarification or for you to repeat something more than once reassess the sophistication of the merchant representative and how to simplify your communication.
3. Do not oversell, particularly by taking advantage of customer's lack of understanding or sophistication:
    a. Customer is new business.
    b. No previous processing experience.
    c. Novice with technology.
    d. Language barrier (English not primary language).
    e. Customer seems to over rely on knowledge of sales person and the sales person using that reliance to oversell.
4. Do not use high pressure tactics?
    a. Sales person rushes customer in making decision.

b. Talks about a deal that will not last (different from promotion of a formally marketed special offer of NAB that carries a "to and from date" to accept).

c. Potential for rate increases where sales person knows no "potential" is likely and there has been no formal sales update or approval for such an external communication.

d. Tells merchant its business will not be competitive unless customer signs (different from talking about improvements to business).

e. Customer not interested but sales person pushes to "guilt" the merchant into agreeing.

Unfairness

Policy Requirement: Unfairness

Sales persons are prohibited from engaging in any act or practice that causes or is likely to cause substantial injury to client. Substantial injury often involves monetary harm, and monetary harm includes costs or fees paid by client as a result of an unfair practice.

Guidance: An act or practice is unfair when it causes or is likely to cause substantial injury to a client and includes, for example, costs or fees paid by clients as a result of a deal procured thought an unfair practice. An act or practice is not considered unfair if client may reasonably avoid injury. However, it is questionable if clients can reasonably avoid injury if the act or practice interferes with their ability to effectively make decisions or to take action to avoid injury. W*hile NAB or sales person may have potential defenses to injury to a merchant, please note above that abusive acts and practices interfere with*

merchant decision making and, thus, could support a merchant claim of injury if a contract is signed and fees and expenses result.

To help avoid acts and practices that may be perceived as unfair to the merchant avoid the following examples and similar behaviors:

1. Sales person not properly disclosing pricing or fees that mislead the merchant into equipment or service(s) that are not affordable or appropriate for the merchant business type or sales environment.
2. Knowingly selling equipment that does not meet the merchants need and causes additional expense or inhibits the merchant handling business volume efficiently for the business size or lack of complexity.
3. Seeing services and products that do not fit the business by any reasonable observation or knowledge of the business type.

Note that any practice that is abusive or deceptive will almost always be unfair.

Deceptive Acts and Practices

Policy Requirement: Deceptive Practices

Sales persons are prohibited from engaging in any representation, omission, act or practice that misleads or is likely to mislead the client. The client's interpretation of or reaction to the representation, omission, act, or practice determines reasonableness under the circumstances.

Guidance: A representation, omission, act or practice is deceptive when the representation, omission, act, or practice *misleads or is likely to mislead the client*. Deception is not limited to situations in which a client has been misled. Instead, an act or practice may be deceptive if it is likely to mislead the client. The client's interpretation of

or reaction to the representation, omission, act, or practice is what determines reasonableness under the circumstances and thus deceptiveness.

The misleading representation, omission, act, or practice is material if it is likely to affect a client's choice of, or conduct regarding, the product or service. **Information that is important to client and helps the client make a decision is material.**

To avoid potentially deceptive behavior consider the following:

1. Does client clearly understand with few or no questions asked? (Client interpreting the information is clear and concise). Client understands so now ensure accuracy and completeness of sales person's communications in selling or addressing products and services, terms, conditions, pricing, etc.
2. Is client confused with need for information to be repeated? (Sales person makes multiple attempts at clarification or does sales person recognize the confusion yet proceeds in face of that confusion). Exercise best efforts to clear the confusion before proceeding.
3. Does client appear to be "deer in the headlights" (appears overwhelmed)? See 2 above. Use plain language as much as reasonably possible – simplify as warranted by the audience.
4. Do not hide, cover or avoid the truth.
5. Do not use "redirection" - redirecting the client away from material facts and details.
6. Do not have merchant focus on one aspect (e.g. term) of the contract while speaking about something unrelated to that aspect of the contract.
7. Do not make promises that cannot be kept.
8. Do not gloss over or inaccurately explain terms or provisions of the contract.

9. When providing pricing and costs comparisons, provide supporting information and provide a written disclaimer that any comparison or analysis is based on current information only.
Reporting
Policy Requirement: Reporting All ales persons must report suspected violations of the Policy. Potential misconduct in the sale of payment processing must be promptly reported by sending a confidential email to policy@paymentshub.com.